



Configuring Usage-Based Billing for Copilot Cowork

Copilot Cowork moves to usage-based billing. This guide walks you through activating the default spending policy, setting organisation and per-user limits, defining alerts, and optionally adding targeted policies and prepaid credits, all from Cost management in the admin centre.



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WHERE

M365 admin centre > Copilot

WHO

Global or billing admin

STEPS

11

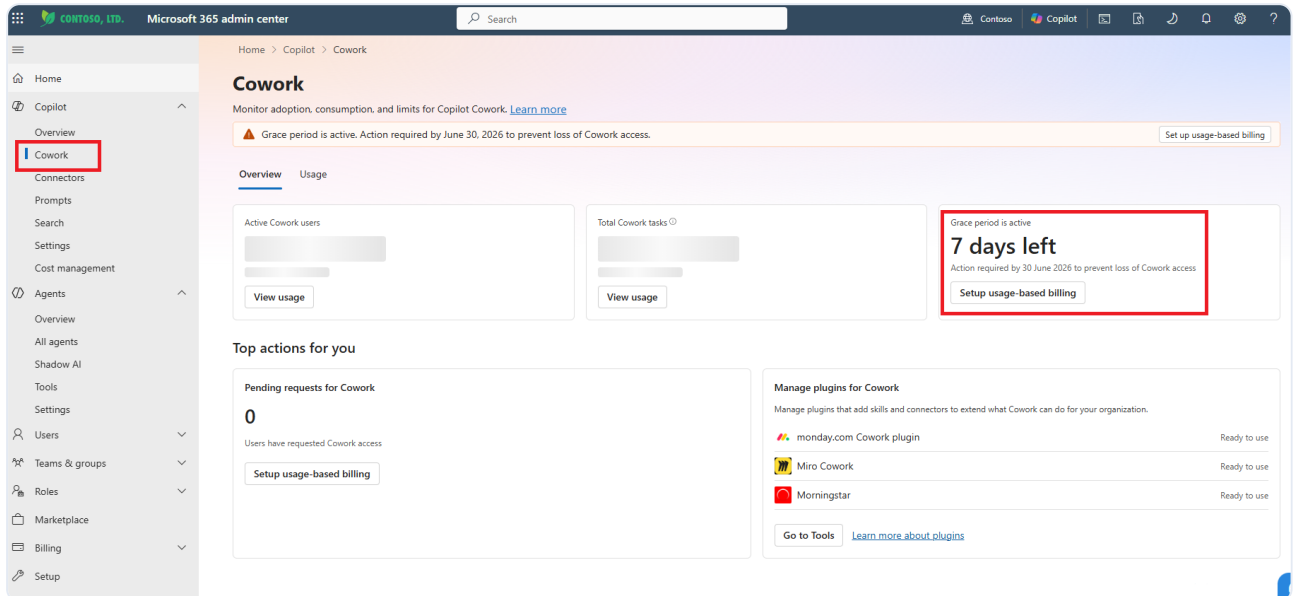
APPLIES TO

Cowork & Work IQ API

Activate the default spending policy

1 Open Cowork and start billing setup

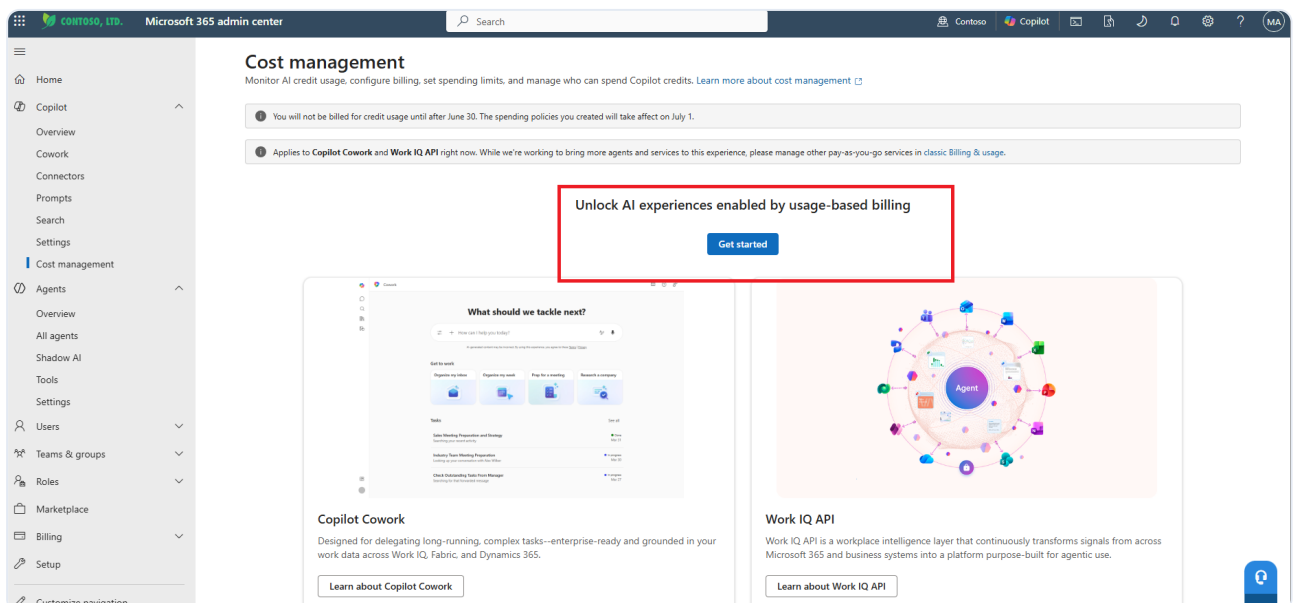
In the Microsoft 365 admin centre, expand **Copilot** in the left navigation and select **Cowork**. The Overview tab shows a grace period banner with the days remaining and the deadline to act. Select **Setup usage-based billing** to begin.



HEADS UP Once the grace period ends, Cowork access is lost until billing is configured. Set this up before the deadline shown on the banner.

2 Get started in Cost management

You land on the **Cost management** page. Under "Unlock AI experiences enabled by usage-based billing", select **Get started**. The banners confirm you will not be billed for credit usage until after the cut-over date, and that policies take effect from the following day.



3 Choose the billing method and organisation limit

On "Activate the default spending policy for your organisation", under **Billing method** select the Azure subscription that Copilot credits will be billed to. Then under "Set the monthly spending limit for this policy", choose **Limit monthly spending** and enter a **monthly budget in credits**.

×

Activate the default spending policy for your organization

Activate the default spending policy to begin billing and allow users to spend Copilot Credits within the agents and services you configure

Billing method

Select the default subscription for your organization. Copilot credits will be deducted from and billed to this subscription. When new spending policies are added, they have the default billing method preselected, but you can change the billing method for each policy you add.

Subscription

Subscription

rianoshea-1

▼

Manage subscriptions in [Azure](#)

Set the monthly spending limit for this policy

☐ Don't limit monthly spending

Allow this policy to use the organization's available credits without any policy restrictions.

☒ Limit monthly spending

Limit the number of credits that the default policy can spend each month.

ⓘ Limiting monthly spending caps this policy at the credit amount you set below. Users assigned to this policy will lose access to agents and services when the limit is reached, until credits reset on the 1st of next month.

Monthly budget (credits)

50,000

NOTE Limiting monthly spend caps the policy. Users assigned to it lose access to the agents and services once the cap is reached, until credits reset on the 1st of the next month.

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4 Set per-user limits and choose alert recipients

Optionally turn on **Select the monthly spending limit for users** to stop any one person overspending, and enter a maximum per user. Under **Define alerts**, add the people who should receive the weekly email summary. To review the full configuration before switching it on, select **Customize setup configuration** (covered in Part 2). Otherwise continue to step 5.

Select the monthly spending limit for users (optional)

Set a monthly limit to prevent a single person from overspending credits.

Limit the number of credits that each user can spend per month

Maximum credit limit users can spend per month

2,000

Define alerts

Send a weekly email summary to these users when the policy reaches the credit limit you specify here. You'll get notified about these policies weekly or until you adjust the spending policy.

Send email to the following users

M

MOD Administrator

admin@M365CPI51076881.onmicrosoft.com

×

A

Adil Eli

AdilE@M365CPI51076881.OnMicrosoft.com

×

+

Add recipient

These recipients will receive the alert email when the threshold above is met.

Alert when monthly spending reaches

credits

✓ Activate

Customize setup configuration

Cancel

5 Set the alert threshold and activate

Under **Alert when monthly spending reaches**, set the credit threshold that triggers the alert email. Confirm your recipients, then select **Activate** to switch the default policy on.

Select the monthly spending limit for users (optional)

Set a monthly limit to prevent a single person from overspending credits.

Limit the number of credits that each user can spend per month

Maximum credit limit users can spend per month

2,000

Define alerts

Send a weekly email summary to these users when the policy reaches the credit limit you specify here. You'll get notified about these policies weekly or until you adjust the spending policy.

Send email to the following users

M

MOD Administrator

admin@M365CPI51076881.onmicrosoft.com

×

A

Adil Eli

AdilE@M365CPI51076881.OnMicrosoft.com

×

+ Add recipient

These recipients will receive the alert email when the threshold above is met.

Alert when monthly spending reaches

45,000credits

✓ Activate

Customize setup configuration

Cancel

Review and fine-tune the policy

6 Review the All Users Policy

Selecting **Customize setup configuration** opens the **All Users Policy** summary. It lists the policy name, user and group access, agents and services, billing method, monthly spending limit, user and group limits, alerts, and alert recipients. Select any row to edit it, then return to the setup panel to activate.

[← Back](#)

All Users Policy

Review and edit your default setup configuration below. When you're ready, return to the setup panel to activate your settings.

Details

Policy name	All Users Policy	>
User and group access	All users	>
Agents and services	Copilot Cowork, Work IQ API	>
Billing method	Pay-as-you-go (ME-M365CPI51076881-brianoshea-1)	>
Monthly spending limit	50,000 credits / month	>
User and group limits	On	>
Alerts	On	>
Email alerts to	MOD Administrator, Adil Eli	>

7 Edit agents and services

From the review, open **Agents and services** to choose what credits can be spent on. Select **Copilot Cowork** (a Copilot licence is required) and **Work IQ API** as needed. Leave **Auto-include new services as they become available** on to treat the policy as a catch-all template, then select **Save changes**.

[← Back to All Users Policy](#)

Edit copilot agents and services

Choose which Copilot agents and services users in this spending policy can consume credits against.

Copilot agents and services

Select the Copilot agents and services that users in this spending policy can use credits for.

☒

 **Copilot Cowork** COPILOT LICENSE REQUIRED
Delegate your long-running, complex tasks.

☒

 **Work IQ API**
A workplace intelligence layer designed for the unique needs of agents.

Auto-include new services as they become available

Treat this rule as a catch-all template. New GA services (e.g. MCS Workloads) will be added automatically and admins notified.

☒

✓ Save changes

Cancel

8 Edit access groups

Open **User and group access** to scope who the policy applies to. Choose **All users** for an organisation-wide default, or **Specific groups** to limit it to selected security groups. Specific users is marked as coming soon.

[← Back to All Users Policy](#)

Edit access groups

Choose which users or groups this spending policy applies to.

Access groups

1

If a user or group is included in multiple spending policies, the newest policy will apply.

☒

All users
All users in your organization can use Copilot Credits for the agent and services selected.

☐

Specific groups
Limit this rule to selected directory groups.

☐

Specific users Coming soon

At this time, users must be added through a security group. If they aren't in one, select Create group and then come back here to add the new group to the policy.

[Create group](#) 

PRECEDENCE If a user or group is included in multiple spending policies, the newest policy applies.

Targeted policies and prepaid credits

9 Confirm activation on the Configuration tab

Back on the **Configuration** tab you see "You've activated the default spending policy", with the policy listed as **Active**. From here you can **Add spending policy**, **Buy prepaid credits**, or **Refresh**.

Cost management

Monitor AI credit usage, configure billing, set spending limits, and manage who can spend Copilot credits. [Learn more about cost management](#)

You will not be billed for credit usage until after June 30. The spending policies you created will take affect on July 1.

Applies to **Copilot Cowork** and **Work IQ API** right now. While we're working to bring more agents and services to this experience, please manage other pay-as-you-go services in [classic Billing & usage](#).

Overview

Configuration

Consumption

You've activated the default spending policy

You can now scope access and spending limits more granularly by defining additional policies.

If multiple spending policies apply to a user, the most targeted policy takes precedence. For example, a user is in an all-users policy with a low limit and a targeted policy with a higher limit, the higher budget will apply because that policy is more targeted.

Buy prepaid credits and save more with a prepurchase plan (P3)

Prepurchasing annual credits unlocks a discounted rate compared to standard pay-as-you-go pricing. Overage still falls back to pay-as-you-go automatically. [Learn more about prepaid discounts](#)

+ Add spending policy

Buy prepaid credits

Refresh

Policy name	Status	Applies to	Agents and services	Policy limit	User limit	Billing method	
All Users Policy	...	Active	All users	Copilot Cowork, Work IQ API	50,000 credits / month	2,000 / user / month	Pay-as-you-go (ME...

PRECEDENCE Where multiple policies apply to a user, the most targeted policy takes precedence. A user in an all-users policy with a low limit and a targeted policy with a higher limit gets the higher budget, because that policy is more targeted.

10 Add a targeted spending policy

Select **Add spending policy** to create a more specific rule. Give it a name, then under "Select the users and groups that can spend credits" choose **Specific groups** and select the relevant security groups. Select **Next** to set the agents, billing method, and limits for this policy.

The screenshot shows the 'Add spending policy' wizard. On the left, a sidebar lists the steps: 'Agents and services', 'Billing method', and 'Review & add policy'. The main content area is titled 'Give this spending policy a name' and contains a text input field with the value 'Sales and Marketing Spending Cowork'. Below this, it says 'This name appears in the Configuration list and on Review & create.' The next section is 'Select the users and groups that can spend credits'. It includes a note: 'We recommend having a policy for all users as a default policy that applies when no other policy is assigned.' There are three radio button options: 'All users' (unselected), 'Specific groups' (selected), and 'Specific users' (disabled with 'Coming soon' text). The 'Specific groups' option has a sub-note: 'Limit this policy to the selected security groups. We've prepopulated the list with groups that have credit requests.' Below this, there is a search bar with the text 'sales' and a list of groups. The 'Select all' checkbox is checked, and the 'Sales and Marketing' group is also checked. At the bottom of the list, it says '1 groups selected'. At the bottom right of the wizard, there are 'Next' and 'Cancel' buttons.

11 Buy prepaid credits (optional)

Select **Buy prepaid credits** to prepurchase annual credits at a discount compared with pay-as-you-go. Choose the subscription to add credits to, then select a credit pack. Any overage still falls back to pay-as-you-go automatically.

The screenshot shows the Microsoft 365 admin center. The left sidebar shows the navigation menu with 'Cost management' selected. The main content area is titled 'Cost management' and shows a table of spending policies. The table has columns for 'Policy name', 'Status', 'Applies to', 'Agents and services', and 'Policy limit'. The first row is 'All Users Policy' with a status of 'Active' and applies to 'All users'. Below the table, there are buttons for '+ Add spending policy', 'Buy prepaid credits', and 'Refresh'. On the right side, a 'Buy credits' dialog is open. It has a title 'Buy credits' and a subtitle 'Add prepaid Copilot credits to one of your subscriptions.' Below this, there is a section 'Select a subscription to add credits to' with a dropdown menu showing 'ME-M365CPS1076881-brianoshea-1'. Below the dropdown, there is a section 'How many credits would you like to purchase?' with radio button options for 300,000, 75,000,000, 1,500,000, 150,000,000, 3,000,000, 225,000,000, 15,000,000, 300,000,000, and 30,000,000 credits. At the bottom of the dialog, there is a 'Calculating price...' button.